



ትምህርት ሚኒስቴር

Ministry of Education - Ethiopia

Ministry of Education

Accounting and Finance

Final Exit Exam With Answers
July 2015 E.C

1) In a Fire & Water partnership, net income and net loss is shared equally. On the date of liquidation of their partnership, records showed the following balances.

Cash Birr.....200,000
Non cash assets.....400,000
Accounts payable.....100,000
Fire's capital.....300,000
Water's capital.....200,000

If non cash assets were sold at Br 500,000, which of the following statement is correct?

- A. The amount of distributed to Water equals Br200,000
- B. The amount of cash available to partners equal Br700,000
- C. The amount of cash distributed to Fire equals Br 350.000
- D. The amount of cash distributed to Fire equals Br 300,000

C

	Cash	noncash	Liability	F	W
Balance	200000	400,000	100000	300000	200000
Realization +	500000	-400000		+50000	50000
Balance	700000	0	100000	350000	250000
Payment Liability	-100,000		-100,000		
Balance	600,000	0	0	350,000	250000
Distribution	-600000			-350,000	-250000
	0	0	0	0	0

2) Joint control exists where:

- A. The decisions in areas essential to the goals of the joint arrangement do not require the consent of the parties.
- B. One party alone has power to control the strategic operating decisions of the joint arrangement.
- C. No single party is in a position to control the activity unilaterally.
- D. No one party may be appointed as the manager of the joint arrangement.

C

3) A Corporation had net income of Birr 50,000 in 2019 and Birr 60,000 in 2020, excluding any income from its investment in B Company. B Company had net income of Birr 30,000 in 2019 and Birr 40,000 in 2020.

On January 1, 2020, A Corporation acquired all of the outstanding common shares of B Company for a cash payment of Birr 300,000. Assume that there was no acquisition differential on this business combination.

What net income would A Corporation report for 2020 in its comparative consolidated financial statements at the end of 2020?

- A. Birr 40,000
- B. Birr 100,000
- C. Birr 80,000
- D. Birr 60,000

B

4) Which one of the following is **NOT the duty of the Board of Directors of a Share Company?**

A. Controlling the day to day activities of the operations

B. Authorizing contracts & setting executive salaries

C. Declaration of dividend

D. Arranging major loans with banks

A

5) Under which of the following set of circumstances might the auditors disclaim an opinion?

- A. The financial statements contain a departure from accepted accounting principles, with a material effect
- B. When the portion of the financial statement audited by the other audit firm is material in relation to the whole.
- C. There are significant scope limitations on the audit
- D. The method of application of accounting principles is not consistent.

C

6) Permitting only designated personnel to handle cash receipts is an application of the principle of:

A. Independent internal verification

B. Establishment of responsibility

C. Segregation of duties

D. Human resource controls

B

7) The process of turning money that is derived from criminal activities-dirty money-into money which appears to have been legitimately acquired and which can therefore be more easily invested and spent is called:

- A. Market Abuse
- B. Money laundering
- C. Insider Trading
- D. Market manipulation

B

8) A purpose of standard costing is to

- A. Eliminate the need to account for year-end under-applied or over-applied manufacturing overhead.
- B. Simplify costing procedures.
- C. Eliminate the need for actual costing for external reporting purposes.
- D. Replace budgets and budgeting.

B

Standard costing is the practice of estimating the expense of a production process. To achieve maximum efficiency and cost control.

9) Which one of the following is **not a role played by an investment bank?**

- A. Buying the securities from the issuer and then reselling them in the market.
- B. Advising the issuer on the terms and the timing of the offering.
- C. Distributing newly issued securities to the public.
- D. Investing in a diversified portfolio on behalf of its shareholders

D

10) All of the following are characteristics of tax except:

- A. Certain taxes are imposed to achieve specific objectives such as reducing consumption of luxurious goods
- B. tax is a legal collection that can be levied only by the federal government not by any one else including regional government.
- C. Tax is a compulsory contribution by the taxpayers to the government.
- D. For the payment of tax, there is no direct return to the taxpayers.

B

11) Which of the following statement is FALSE regarding the objective of financial reporting by public sector

- A. The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of GPFRS for decision-making purposes.
- B. The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of GPFRS for accountability purposes.
- C. The identification of accountability as an objective of financial reporting reflects that most governments and public sector entities have a profit seeking rather than service delivery objective
- D. The identification of accountability as an objective of financial reporting reflects the fact that most governments and public sector entities have their funding mainly through taxation, but also transfers from other tiers of government.

C

12) Which of the following is correct, if MAMA Share Company issued 1,000 shares of Birr 100 par value ordinary shares receiving a total amount of Birr 120,000?

- A. Retained earnings account is credited for Birr 20,000
- B. Ordinary share capital account is credited for Birr 120,000
- C. The transaction results in a gain of Birr 20,000
- D. Total shareholders equity increases by Birr 120,000

Cash120,000

Ordinary share(100*1000)100,000

Share premium..20000

D

13) Which of the following is correct?

- A. Analytical review is sufficient evidence for a reasonable assurance audit
- B. Limited assurance audit opinion is worded negatively
- C. Auditors apply professional judgment only on deciding on the type of opinion
- D. Limited assurance audit is acceptable for organizations of all size

B

14) If businesses are "governed by the marketplace, governments are governed by

A. State constitutions

B. Budgets

B

C. Legislative bodies

D. Taxes

15) In making such decisions, products should be ranked based on

A. contribution margin per unit of the constraining resource

B. selling price per unit

C. Contribution margin per unit

A

D. unit sales volume

16) ABC Company has only 25,000 hours of machine time each month to manufacture its two products. Product X has a unit contribution margin of Birr 50, and Product Y has a unit contribution margin of Birr 64.

Product X requires 5 hour of machine time, and Product Y requires 8 hours of machine time.

If ABC Company wants to dedicate 80% of machine time to the product that will provide the most income, the company will have a total contribution marge

- A. Birr 210,000
- B. Birr 200,000
- C. Birr 240,000
- D. Birr 250,000

C

	Product X	Product Y
CM	Birr 50	Birr 64
Hour	5	8
CM/H	(50/5) 10Birr/h	(64/8) 8 Birr/h
25000*0.8= 20000 h		
X= 20000H*10Birr = 200,000		
Y= 5000*8Birr = <u>4000</u>		
Total CM	240,000	

17) Which of the following is FALSE about short-term financing

- A. Short-term credit agreements are generally more restrictive than long-term credit agreements
- B. If funds are needed in a hurry, the firm should look to the short-term markets.
- C. If a firm thinks its need for funds will diminish in the near future, it should choose short-term debt.
- D. Interest costs at the time the funds are obtained will be lower if the firm borrows on a short-term rather than a long-term basis.

A

18) Aster is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 4,000. During Tir 2015 she worked on Public holiday for 10 hours. She has a position allowance of Birr 1000.

Aster is a member of the saving and credit association of the organization in which she works and decided to save 10% of her salary. She is expected to work 160 hours per month and she worked accordingly.

What is the amount of overtime related to Aster's payment?

A. Birr 950

B. Birr 781.25

C. Birr 500

D. Birr 625

D

$$\text{Over time} = \text{Bs/Nwh} * \text{Rate} * \text{Hour}$$

$$= 4000/160 * 2.5 * 10 = 625$$

$$\text{GE} = 4000 + 1000 + 625 = 5625$$

$$\text{Tax} = 5625 * 0.25 - 565 = 841.5$$

$$\text{Pc} = 4000 * 0.07 = 280$$

$$\text{Other Deduction} = 4000 * 0.4 = 400$$

$$\text{Total deduction} = 841.5 + 280 + 400 = 1521.5$$

$$\text{Net pay} = 5625 - 1521.5 = 4103.5$$

19) Auditors basically accumulate evidence to

- A. Reach a conclusion about the fairness of the financial statements
- B. Defend themselves in the event of a court case
- C. Satisfy the requirements of code of ethical conduct
- D. Determine if the financial statements are correct

A

20) Yene Company purchased land containing an estimated 1,000,000 tons of ore for a cost of Birr 10,500,000. The land without the ore is estimated to be worth Bir 500,000.

During its first year of operation, the company mined and sold 300,000 tons of ore.

What is the amount of depletion expense that Yene Company should record for the year?

- A. Birr 7,000,000
- B. Birr 3,150,000
- C. Birr 10,000,000
- D. Birr 3.000.000

D

$$\begin{aligned}\text{Depletion Expense} &= \frac{\text{Cost} - \text{SV}}{\text{Estimated life}} \\ &= \frac{10,000,000 - 0}{1,000,000} \\ &= 10 \text{ birr/ton}\end{aligned}$$

$$300,000 * 10 = 3,000,000$$

Depletion Expense 3,000,00

Acc Depletion expense3,000,000

21) Which of the following is FALSE about public finance?

- A. Public finance deals with the wants and the satisfaction of households and firms.
- B. Public finance is the study of income and the expenditure of the government.
- C. Fiscal operations and fiscal policies are integral part of public finance.
- D. Public finance aims at maximizing social welfare or social benefit by efficient use of public goods

A

22) Bonds that are sold in a foreign country and are denominated in the country's currency in which they are sold are known as

a. Country bonds.

b. Foreign bonds.

B

c. Equity bonds:

Eurobond is an international bond issued in a different currency than the domestic currency. A Eurobond is also called an external bond.

Equity-linked bonds have features of both debt and equity.

d. Eurobonds

23) For a typical firm, which of the following sequences is correct? All rates are after taxes, and assume that the firm operates at its target capital structure. Note: **Re** is cost of new equity while **Rs** is cost of retained earnings.

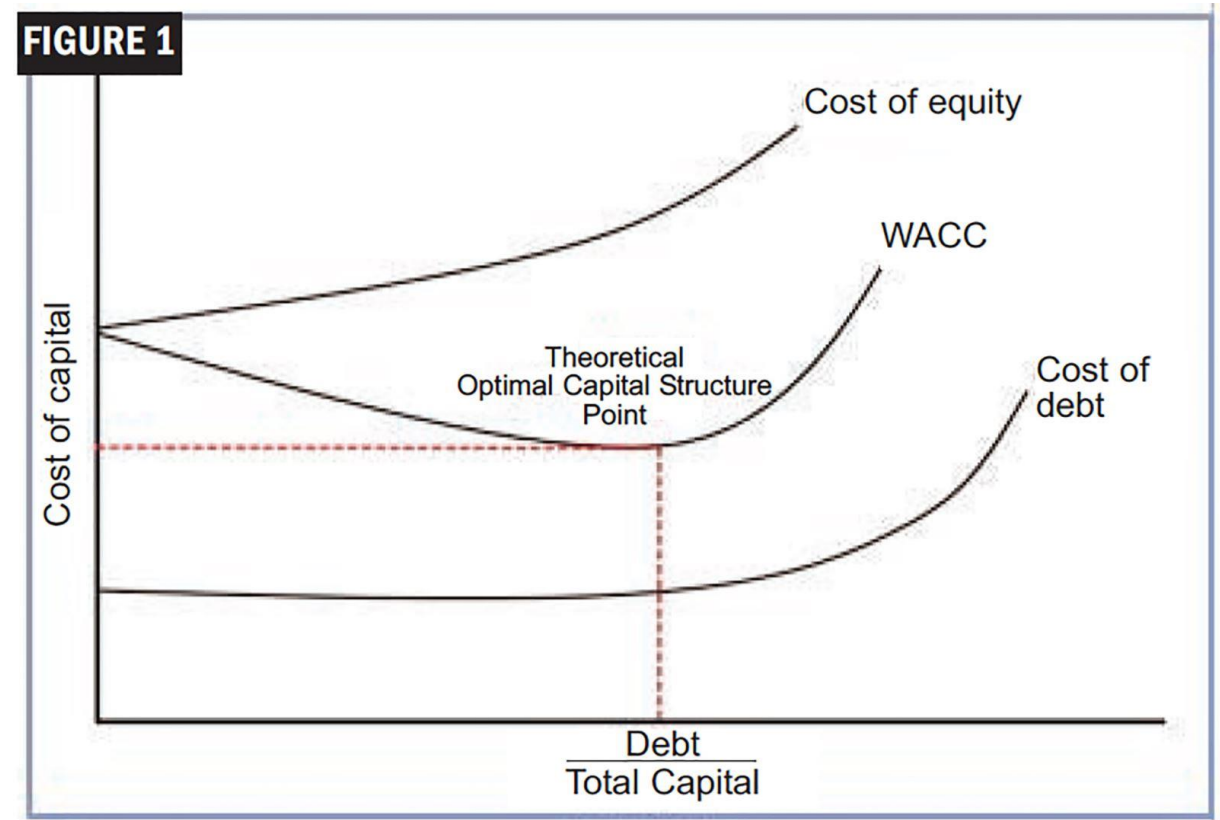
A. $R_s > R_e > R_d > WACC$

B. $WACC > R_d > R_s > R_e$.

C. $R_e > R_s > WACC > R_d$.

D. $R_d > R_e > R_s > WACC$

C



24) An entity grants 1,000 share options to each of its five directors on July 1, 2014. The options vest on June 30, 2018. The fair value of each option on July 1, 2014, is Birr 5, and it is anticipated that all of the share options will vest on June 30, 2018.

What will be the accounting entry in the financial statements for the year ended June 30, 2015?

$$1000 * 5 * 5 * 1/4 = 6250$$

- A. Increase equity Birr 6,250, increase in expense statement of comprehensive income Birr 6,250.
- B. Increase equity Birr 5,000, increase in expense statement of comprehensive income Birr 5,000
- C. Increase equity Birr 25,000, increase in expense statement of comprehensive income Birr 25,000.
- D. Increase equity zero, increase in expense statement of comprehensive income zero.

A

25) Which of the following is the common characteristics of all financial markets:

- A. It allows common stock to be traded.
 - B. It allows loans to be made.
 - C. It channels funds from lenders-savers to borrowers-spenders.
 - D. It determines the level of interest rates
- C**

26) Which of the following statements is **FALSE** regarding the definition of a fund?

- A. A fund is an accounting entity that is used for one year only and each year a new set of funds must be established.
- B. A fund is a fiscal entity used to account for a subset of an organization's resources that is to be used for a specific purpose.
- C. A fund has a self-encompassing, self-balancing accounting equation.
- D. A fund is an accounting entity for which financial statements can be prepared.

A

27) A Company has cash in bank of Birr 20,000, restricted cash in a separate account of Birr 6,000, and a bank overdraft in an account at another bank of Birr 2,000. The company should report cash of

A. Birr 26,000

B. Birr 18,000

C. Birr 20,000

D. Birr 24,000

Cash in Bank	20,000
Bank Overdraft	(2,000)
Balance To Be Reported	18,000

B

28) Which of the following statements is most consistent with efficient inventory management? The firm has

A. Relatively low days sales outstanding (DSO).

B. Relatively high current ratio

C. Below average inventory turnover ratio,

D. Low incidence of production schedule

Efficient inventory management would result in low wastage of raw materials and will also ensure sufficient stock of inventory at the right time for use in production.

This would in turn reduce the possibility of **production schedule disruptions.**

D

29) Which one of the following is FALSE?

- A. The risk of material misstatement is a function of inherent and control risk
- B. A financial statement that contain immaterial misstatement is not considered to show true and fair view
- C. Knowledge about the client's industry is an essential factor for a successful audit
- D. Audit planning can keep audit costs reasonable

B

30) Which of the following is **not a function of a financial system:**

A. Investment function

B. Risk elimination function

B

C. Payment function

D. Saving function

31) The fair value of an asset at initial recognition is

- A. The price paid to acquire the asset.
- B. The book value of the asset acquired.
- C. The price paid to transfer or sell the asset.
- D. The price paid to acquire the asset less transaction costs.

When an asset is acquired or a liability is assumed in an exchange transaction for that asset or liability, the transaction price is the price paid to acquire the asset or received to assume the liability (an entry price).

A

32) The joint arrangement is **not** structured through a separate vehicle, the arrangement is classified as a

A. Joint venture

B. Joint vehicle.

C. Joint structure

D. Joint operation.

D

33) Which of the following financial intermediaries is **not a depository institution?**

A. A finance company

A

B. A savings and loan association

A finance company is an organization that makes loans to individuals and businesses.

C. A commercial bank

Unlike a bank, a finance company does not receive cash deposits from clients, nor does it provide some other services common to banks, such as checking accounts.

D. A credit union

34) Which one of the following statements is FALSE about the tasks involved in accounting system installation and revision?

- A. Problems on existing system are identified on system analysis stage rather than system design stage
- B. Data needs should be identified at system analysis stage
- C. New systems should be designed based on feedback from system implementation stage
- D. In both new system installation and revising existing system, analysis should precede system design

INSTALLING & REVISING ACCOUNTING SYSTEMS

The installation and revision of an accounting system requires a complete knowledge of a business operation. The following steps are necessary when installing or changing an accounting system.

- 1)- **Systems analysis:** this stage determines data needs, the sources of data and any problem in processing current data.
- 2)- **Systems design:** this stage involves designing new or revising current accounting systems based upon the results of the systems analysis.
- 3)- **Systems implementation:** this final stage installs and evaluates the new or revised accounting system.

35) The tax base of an asset is the amount which is attributable to that asset for tax purposes. If the tax base of an asset is less than its carrying amount, this is an evidence of:

C

A. A deductible temporary difference

B. A taxable permanent difference

C. A taxable temporary difference

D. A deductible permanent difference

General Rules Around Temporary Differences

	Deductible Temporary Differences	Taxable Temporary Differences
	Differences that result in amounts that are deductible in determining taxable income of future periods	Differences that result in amounts that are taxable in determining taxable income of future periods
Give rise to:	Deferred Tax Assets	Deferred Tax Liabilities
Generally arise when:		
1. Differences result in:	Taxable Income > Accounting Income	Taxable Income < Accounting Income
2. Assets:	Tax Base > Carrying Amount	Tax Base < Carrying Amount
3. Liabilities:	Carrying Amount > Tax Base	Carrying Amount < Tax Base

36) Which of the following ethical principles requires the auditor to be honest and straightforward in all professional and business relationships?

A. Integrity

A

B. Professional behavior

A. Professional competence and due care

B. Objectivity

The **principle of integrity** imposes an obligation on all professional accountants to be straightforward and honest in all professional and business relationships. Integrity also implies fair dealing and truthfulness.

The **principle of objectivity imposes** an obligation on all professional accountants not to compromise their professional or business judgment because of bias, conflict of interest or the undue influence of others.

The **principle of professional competence and due** care imposes the following obligations on all professional accountants:

- (a) To maintain professional knowledge and skill at the level required to ensure that clients or employers receive competent professional service; and
- (b) To act diligently in accordance with applicable technical and professional standards when providing professional services.

The **principle of professional behavior** imposes an obligation on all professional accountants to comply with relevant laws and regulations and avoid any action that the professional accountant knows or should know may discredit the profession.

The **principle of confidentiality imposes** an obligation on all professional accountants to refrain from:

- (a) Disclosing outside the firm or employing organization confidential information acquired as a result of professional and business relationships without proper and specific authority or unless there is a legal or professional right or duty to disclose; and
- (b) Using confidential information acquired as a result of professional and business relationships to their personal advantage or the advantage of third parties.

37) ABC furniture produces items based on customer's order. It uses job order system with normal costing. In March 2022, the cost sheet for Job No. 125 showed the following data:

Predetermined overhead rate... Birr 25 per machine hour.

Direct materials used.....8000 Birr

Direct labour rate per hour.....19 birr

Machine time used..30 hours.

Direct labour hours worked.....20 H

What is the total cost of Job No. 125 for March under normal costing?

A. Birr 2,380

B. Birr 9,130

C. Birr 8,750

D. Birr 10,275

B

DM Cost	8,000
DL Cost (19*20).....	380
Machine cost (30*25).....	<u>750</u>
Total cost	9130

38) Robba Corporation manufactured 30,000 ice chests during September. The overhead cost-allocation base is Birr per machine-hour. The following variable overhead data pertain to September

	Actual	Budgeted
	30,000 unit	24,000 unit
Machine hour	15,000 h	10,800 h
Variable overhead /mh	Birr 11.00	Birr 11.25

What is the variable overhead spending variance?

- A. Birr 16,875 unfavourable
- B. Birr 13,125 unfavourable
- C. Birr 3,750 favourable
- D. Birr 30,375-unfavourable

C

Variable Overhead Spending Variance is essentially the difference between what the variable production overheads **actually** cost and what they **should** have cost given the level of activity during a period.

$$\begin{aligned}\text{variable overhead spending variance} &= (\text{Budgeted. rate} - \text{Actual rate}) \text{ AH} \\ &= (11.25 - 11) * 15000 \\ &= \mathbf{3750 \text{ F}}\end{aligned}$$

39) In 2021, Cupid Construction Co. (CCC) began work on a two-year fixed price contract project. CCC recognizes revenue over time according to percentage of completion for this contract, and provides the following information (birr in millions)

- Accounts receivable, 12/31/2021 (from construction progress billings) Birr 75
- Actual construction costs incurred in 2021 270
- Cash collected on project during 2021 Birr 210
- Construction in progress 12/31/2021 Birr 414
- Estimated percentage of completion during 2021 60%

• **What is the amount of gross profit recognized by CCC during the period ?**

A. Birr 320 million

B. Birr 144 million

C. Birr 96 million

D. Cannot be determined from the given information.

B

Construction in progress =

Actual costs incurred + **Gross profit Recognized**

E. Gross profit = $414 - 270 = 144$

40) Which of the following intangible assets could **not** be sold by a business to raise needed cash for a capital project?

A. Copyright.

B. Trade name.

C. Patent.

D. Goodwill. **D**

41) The expected cash collection pattern is 60% in the month of sale and 25% in the following month, 10% in the second following month. Given the sales budget presented below, **how much cash is expected to be collected in January if uncollectible amount is 5% of monthly sales?**

	October	November	December	January
Budgeted Credit Sales	40,000	50,000	60,000	35,000

A) 41,000

B) 35,000

C) 33,250

D) 21,000

$$\begin{aligned}\text{January} &= 0.6 \text{ Jan sale} + 0.25 \text{ Dec sale} + 0.1 \text{ Nov Sale} \\ &= (0.6 * 35,000) + (0.25 * 60,000) + (0.1 * 50,000) \\ &= \mathbf{41,000}\end{aligned}$$

A

42) If accrued Utility expense of Br 5,000 is **not** recorded, which of the following is correct?

A. Expense will be overstated

B

B. Liability will be understated

Utility Expense5000

Accrued payable5000

C. Owner's equity be will understated

D. Net income will be understated

43) According to the IASB Framework, the two criteria required for incorporating items into the income statement or statement of financial position are that:

C

- A. It satisfies the criteria of capital maintenance.
- B. It meets the requirements of comparability and consistency.
- C. It meets the definition of an element and can be measured reliably.
- D. It meets the definition of relevance and faithful representation

44) When searching for unrecorded liabilities at year-end, the focus of the auditor will be on checking

- A. Cash receipts from related parties recorded before year-end
- B. Creditors whose accounts appear on a subsidiary trial balance of accounts payable
- C. Cash payments recorded after the balance sheet date
- D. Invoices for goods purchased after year-end

C

45) The main purpose of accounting is

- A. to provide financial information to users
- B. to accumulate and determine cost
- C. to prove the equality of debits and credit
- D. to record and post transactions

A

46) All of the following are part of tests of control for the occurrence assertion in the acquisition & payment cycle Except

- A. Tracing a sample of goods receiving note to entries on purchases journal
- B. Examine payment documents for approval
- C. Inspection of purchase order evidencing authorization
- D. Observation of existence of proper segregation of duties

D

47) Which of the following should **not** be included in the physical inventory of a company?

- A. Goods in transit, bought from another company with FOB shipping point term
- B. Goods held on consignment from another company
- C. Goods shipped on consignment to another company
- D. Goods in process

B

48) Which of the following is **FALSE** about auditing?

A. at involves the task of recording business transactions

B. It involves the task evaluations of evidences

C. involves checking the information with established criteria

D. It involves communicating results to users

A

49) A journal entry debiting Cash in Transit and crediting Investment in Branch is required for.

- A. The home office to record the mailing of a check by the branch on the last day of the accounting period.
- B. The home office to record the mailing of a check to the branch early in the accounting period.
- C. The branch to record the mailing of a check to the home office on the last day of the accounting period.
- D. The branch to record the mailing of a check to the home office early in the accounting period.

A

50) Clayton Industries is planning its operations for next year, and Ronnie Clayton, the CEO, wants you to forecast the firm's additional funds needed (AFN). The firm is operating at full capacity. Data for use in your forecast are shown below. Based on the AFN equation, **what is the AFN for the coming year?** All Birrs are in millions.

Last year's sales (S) Birr 350.0

Sales growth rate (g) 30%

Last year's total assets (A) Birr 500.0

Last year's profit margin (PM) 5.0%

Last year's accounts payable Birr 40.0

Last year's notes payable Br 50.0

Last year's accruals Birr 30.0

Initial pay out ratio 60%

A. Birr 102.8

B. Bir 108.2

C. Bir 113.9

D. Birr 119.9

D

AFN = Change in Asset – Change in liability – change in RE

For payout ratio = 60%:

Change in Asset = $500 \times 0.3 = 150$

Change in liability = $(40 + 30) \times 0.3 = 21$

change in retained earning

Increase in Retained earnings = forecasted sale * PM * b
= $(350 \times 1.3) \times 5\% \times (1 - 0.6) = 9.1$

AFN = $150 - 21 - 9.1 = 119.9$ million

51) On January 2, 2021, Triple Inc. purchased equipment with a cost of Birr 10,440,000, a useful life of 10 years and no salvage value. The Company uses straight-line depreciation. At December 31, 2021 and December 31, 2022, the company determines that impairment indicators are present. The following information is available for impairment Testing at each year end.

	12/31/2021	12/31/2022
FV less cost to sale	9,315,000	8,350,000
Value in used	9,350,000	8,315,000

There is no change in the asset's useful life or salvage value. The 2022 profit or loss statement will report:

- A. Recovery of impairment Loss of Birr 3,889
- B. Impairment loss of Birr 10,000
- C. Recovery of impairment Loss of Birr 38,889.
- D. Impairment Loss of Birr 1,000,000

C

10,440,000/10=1,044,000 dep Ex
10,440,000-1,044,000= 9,396,000 BV
Impairment loss = 46,000

2022

Purchase value	9,350,000.00
Depreciation (9 year)	1,038,888.89
Book Value after Depreciation	8,311,111.11
Fair Value	8,350,000.00
Recovery of Impairment loss	38,888.89

52) The investment category for which the investor's "positive intent and ability to hold" is important is

A. Securities reported under the equity method.

B. Trading securities.

C. Securities available-for-sale.

D

D. Securities classified as held-to-maturity

53) Which one of the following would tend to favor a low-dividend pay-out?

A. Elimination of the tax deferral on capital gains

B. Investors' desire for a high-dividend yield

C. Higher tax rates on capital gains than on dividend income

D. High flotation cost for equity issues

D

54) Under a job-order costing system, the dollar amount transferred from Work in Process to Finished Goods is the sum of the costs charged to all jobs:

A. started in process during the period.

B. in process during the period.

C. completed and sold during the period.

D. completed during the period.

D FG....XXX

WIP.....XXX

55) Cost-volume-profit analysis assumes all of the following except

- A. total variable costs remain the same over the relevant range
- B. all costs are variable or fixed
- C. total fixed costs remain the same over the relevant range
- D. units manufactured equal units sold

A

56) Which of the following is **NOT** a reason the retail inventory method is used widely?

A. To defer income tax liability.

B. As a control measure in determining inventory shortages.

C. To permit the computation of net income without a physical count of inventory

D. For insurance information.

A

57) Which of the following is FALSE about cost allocation methods?

- A. The dual-rate method provides better information for making decisions
- B. The single-rate method aggregates fixed and variable costs and allocates them to objects using a single allocation base and rate
- C. The dual-rate method, groups costs into separate variable cost and fixed cost pools and use a single cost- allocation base and rate.
- D. The single-rate method is relatively simple to apply

C

58) Ortiz Corporation, a manufacturer of household paints, is preparing annual financial statements at December 31, 2022.

Because of a recently proven health hazard in one of its paints, the government has clearly indicated its intention of having Ortiz recall all cans of this paint sold in the last six months.

The management of Ortiz estimates that this recall would cost Birr 800,000. What accounting recognition, if any, should be recorded this situation?

- A. Operating expense of Birr 800,000 and liability of Birr 800,000.
- B. No recognition.
- C. Appropriation of retained earnings of Birr 800,000.
- D. Note disclosure only.

D

59) The use of statistical sampling technique enables the auditor to:

- A. Eliminate the need for judgmental decisions
- B. Quantify sampling risk
- C. Select a perfectly representative sample
- D. Be more subjective in evaluation of sample results

B

60) Which of the following is **FALSE** in connection to job order costing system?

- A. Work in process is credited for the transfer of completed items to Finished Goods Inventory
- B. Finished goods is debited for goods completed & sold during the period
- C. In normal costing method, work in process is debited factory overhead applied
- D. Finished goods is credited for cost of goods shipped to customers

B

61) As a general rule, debt service expenditures in a Debt Service Fund are recognized

- A. when the debt service payment is due
- B. when resources to be used for the repayment are made available to a Debt Service Fund
- C. in accordance with the requirements of the original bond order that specifies the basis of expenditure recognition
- D. when due for principal repayments but on an accrual basis for interest

A

62) Which of the following is **not considered as one of the basic questions of corporate finance?**

- A. How much inventory should the firm sale in a period?
- B. How can the firm raise cash for required capital expenditures?
- C. What long-lived assets should the firm invest in?
- D. How should the short-term operating cash flows be managed?

A

Three main questions in corporate finance are capital budgeting, capital structure, and working capital management.

63) An entity imported machinery to install in its new factory premises before year-end. However, due to circumstances beyond its control, the machinery was delayed by a few months but reached the factory premises before year-end.

While this was happening, the entity learned from the bank that it was being charged interest on the loan it had taken to fund the cost of the machinery.

What is the proper treatment of freight and interest expense?

- A. Interest may be capitalized but freight should be expensed.
- B. Both expenses should be expensed,
- C. Freight charges should be capitalized but interest cannot be capitalized under these circumstances
- D. Both expenses should be capitalized.

C

64) Feb 7, 2023 — Project B requires an investment of birr 750000 which will give a return of first year birr 250000, 2nd year through fourth year birr 300000, and fifth year birr 100000. if RRR 12%

- WHAT IS THE NPV?

A)543,331.29

B)435133.92

C)534331.23

D)324,533.20

$$NPV = \frac{Cash\ Flow_1}{(1+r)^1} + \frac{Cash\ Flow_2}{(1+r)^2} + \frac{Cash\ Flow_n}{(1+r)^n} - Initial\ Investment$$

$$= \frac{250,000}{(1+0.12)^1} + \frac{300,000}{(1+0.12)^2} + \frac{300,000}{(1+0.12)^3} + \frac{300,000}{(1+0.12)^4} + \frac{100,000}{(1+0.12)^5} - 750,000$$

A

65) The risk structure of interest rates is

- A. The relationship among interest rates of different bonds with the same maturity.
- B. The relationship among interest rates on bonds with different maturities.
- C. The relationship among the term to maturity of different bonds.
- D. The structure of how interest rates move over time.

A

The risk structure of interest rates explains why bonds of the same maturity but issued by different economic entities have different yields (interest rates).

66) Which one of the following is the theory that a firm should borrow up to the point where the additional tax benefit from an extra dollar of debt equals the additional costs associated with financial distress from that additional debt?

- A. M&M Proposition II, with taxes
- B. Static theory of capital structure
- C. M&M Proposition I, without taxes
- D. M&M Proposition I, with taxes

B Theory that the firm's capital structure is determined by a trade-off of the value of tax shields against the costs of bankruptcy.

- **MM Proposition I (with taxes):** The value of the company with debt is greater than that of the all equity company by an amount equal to the tax rate multiplied by the value of the debt.
- **MM Proposition I (without taxes):** The market value of the company is not affected by the capital structure of the company. MM Proposition II (without taxes): The cost of equity is a linear function of the company's debt/equity ratio.
- **MM Proposition II (with taxes):** The cost of equity increases as the company increases the amount of debt in its capital structure, but the cost of equity does not rise as fast as it does in the no tax case.
- **MM Proposition II (No Taxes)**
- What MM II says is that if you increase borrowing to get the cheaper rate, you will also increase the amount you will have to pay on your equity. In fact, the two will exactly offset leaving your (overall) weighted-average cost of capital the same.

67) Which of the following accounts typically would be used by an Agency Fund?

A. Revenue

C

B. Bonds payable

C. Cash

Agency funds are used to account for assets held by the government as an agent for individuals, private organizations, other governments, and/or other funds.

D. Notes receivable

68) You want to go to USA 5 years from now for your MSc degree, and you can save Birr 3,100 per year, beginning one year from today.

You plan to deposit the funds in one of the commercial banks that you think will pay 8.5% interest per year.

Under these conditions, how much would you have just after you make the 5th deposit, 5 years from now?

A. Birr 19,287

D

B. Birr 21,264

C. Birr 20,251

D. Birr 18,369

Ordinary Annuity

$$= \text{Pmt} \left[\frac{(1+i)^N - 1}{i} \right]$$

$$3100 \left[\frac{(1+0.085)^5 - 1}{0.085} \right]$$

$$= 18,369$$

69) A company uses perpetual inventory system An inventory record card shows the following details.

- January 1, inventory 5000 at a cost of 10
- January 15,sales 1000 at Birr 25
- February 10,purchase 3000 units at a cost Birrr20
- Sales on June 3 is 6000unit at Birr 25

In a perpetual inventory system, what is the Cost of Goods Sold as of June 3 sales connection if the company used FIFO ?

- A)80,000
- B)75,000
- C)60,000
- D)90,000

A

Purchase	Cost of good sold	Inventor
		5000 *10 = 50,000
	1000*10= 10,000	<u>4000*10 = 40,000</u>
		4000*10 = 40,000
3000*20= 60,000		3000*20 = 60,000
	4000*10= 40,000	
	2000*20= 40,000	1000*20= 20,000
	CGS = 90,000	

70) It Entity IQ had a plantation forest that is likely to be harvested and sold in 30 years, in which way should the income be accounted for?

- A. Income should be measured annually and reported using a fair value that recognizes and measures biological growth.
- B. The plantation forest should be valued every five years and the increase in value should be shown in the statement of recognized gains and losses.
- C. No income should be reported until first harvest and sale in 30 years.
- D. The eventual sale proceeds should be estimated and matched to the profit and loss account over the 30- year period

A

71) The following cost information about direct material-chemical, is taken from Kokeb textile firm:

Chemicals on hand as of January 1, 2020,Birr 100,000

Chemicals on hand as of January 31, 2020...80,000

Cost of Chemicals issued to factory during January400,000

Excess Chemicals returned from factory
shop to store during January..... 30,000

What is the cost of direct materials purchased during the period?

A. Birr 400,000

C $DMU = BDM + DMP - EDM$

B. Birr 230,000

$$DMP = DMU + EDM - BDM$$

C. Birr 350,000

$$= 370,000 + 80,000 - 100,000$$

D. Birr 500.000

$$= \mathbf{350,000}$$

72) Assume that two companies wish to engage in a Business Combination involving a share exchange. Once the share exchange is consummated, each shareholder group will have an equal number of voting shares.

Which of the following statement best describes the course of action that must be taken under these circumstances?

- A. The Boards of Directors of both companies must enter into discussions to agree on which party will be the acquirer
- B. No acquirer can be identified since no shareholder group has majority voting control so the share exchange must be annulled...
- C. Other factors must be examined to determine which shareholder group is more dominant
- D. The company with the largest net assets (at fair market value) is deemed to be the acquirer.

C

73) Among the following, which one is a tax deductible expense in the Ethiopian tax system

- A. Insurance Expenses.
- B. Damages covered by insurance policy or a contract of indemnity, guarantee, or surety.
- C. Depreciation expense on Buildings computed in line with IFRS using the units of production method.
- D. An expenditure of a capital nature.

A

74) On December 31, 2022, Diamond Company reported net income of Birr 50,000 and sales of Birr 200,000. The company also reported beginning and ending accounts receivable at Birr 20,000 and Birr 25,000, respectively. Diamond will report cash collected from customers in its 2022 statement of cash flows (indirect method] in the amount of

A. Birr 205,000.

B. Birr 0.

C. Bir 195,000

D. Birr 245,000.

AR increased by 5000 Birr

C

Cash collected from customer

= sale +  AR -  AR

= 200000 – 5000 = 195,000

75) South Ltd. uses allowance method of accounting for uncollectible.

Analysis of long outstanding balance of Br 500,000 expected from customer Z reveals the amount will not be collected because of disappearance of the customer following bankruptcy.

The correct journal entry is

- A. Debit Bad debt expense and credit Allowance for uncollectible by Br 500,000
- B. Debit Allowance for uncollectible and credit Accounts Receivable by Br 500,000
- C. Debit Bad debt expense and credit Accounts Receivable by Br 500,000
- D. Debit Allowance for uncollectible and credit Bad debt expense by Br 500,000

Bad debt expense500,000

Allowance for uncollectable account500,000

B

Allowance for uncollectable account500,000

AR.....500,000

76) Export Company had a trade account receivable from a foreign customer stated in the local currency of the foreign customer.

The trade account receivable for 900, 000 local currency units (LCU) had been restated to Birr 315,000 in Export's June 30, 2005, balance sheet. On July 26/2005, the account receivable was collected in full when the exchange rate was LCU1= Birr 0.33 (1/3.)

The journal entry that Export prepares to record the collection of this trade account receivable include:

- A. Credit to Foreign Currency Translation Adjustments, Birr 15,000.
- B. Debit to Foreign Currency Transaction Gains and Losses, Birr 15,000.
- C. Credit to Trade Accounts Receivable Birr 300,000
- D. Debit to Cash, Birr 300,000.

D	June 30)	$315,000/900,000 = 0.35$ birr	Cash	300,000
	July 25)	$1/3 = 0.3333333$ birr	Forex loss	15,000
			Accounts Receivable	315,00
		$(0.35 - 0.333333) * 900,000 = 15000$ Loss		

77) Some gains and losses arising on a revaluation of property plant and equipment are to be included in other comprehensive income.

When the asset is measured foreign currency, how would exchange differences be treated?

- A. As a contra account to be fully disclosed and to show the impact of foreign exchange differences.
- B. The differences should be included in the calculation of other comprehensive income.
- C. As a reduction or increase in the carry cost of the asset.
- D. As an item to be included in income or loss for the year.

B

78) The main reason for the auditor to trace shipping documents to pre-numbered sales invoices is to determine that:

A. All goods ordered by customers were shipped

B. Shipments to customers were properly billed

C. All pre-numbered sales invoices were recorded

D. Recorded sales invoices are not fictitious **D**

79) On January 1, 20x1, ABC Co. acquired 75% interest in XYZ, Inc. for Birr 2,500,000 cash. ABC Co. incurred transaction costs of birr 250,000 for legal, accounting and consultancy fees in negotiating the business combination. ABC Co. elected to measure NCI at the NCI's proportionate share in XYZ, Inc.'s identifiable net assets.

- The carrying amounts and fair values of XYZ's assets and liabilities at the acquisition date were as follows:

Assets	Carrying amounts	Fair values
Cash in bank	25,000	25,000
Accounts receivable	425,000	300,000
Inventory	1,300,000	875,000
Equipment – net	2,500,000	2,750,000
Goodwill	250,000	50,000
Total assets	4,500,000	4,000,000
Liabilities		
Payables	1,000,000	1,000,000

How much is the goodwill (gain on a bargain purchase)?

- a. 140,000

b. 287,500

c. 278,500

d. 264,500
- FV of Net Asset =
3,950,000- 1000,000 = 2,950,000

NCI= 2950000*0.25= 737,500

Consideration transfer
2500,000+737500 =3237,500

B

3,237,500 > 2,950,000 by 287,500
Goodwill = 287500

80) Within the relevant range, the difference between variable costs and fixed costs is:

- A. variable costs per unit fluctuate and fixed costs per unit remain constant.
- B. variable costs per unit are constant and fixed costs per unit fluctuate.
- C. both total variable costs and total fixed costs are constant.
- D. both total variable costs and total fixed costs fluctuate.

B

81) Which of the following is **not the role played by National Bank of Ethiopia in the Ethiopian financial system?**

- A. National Bank of Ethiopia provide insurance to help ensure the soundness of financial intermediaries
- B. Regular on-site examinations to monitor whether the institution is complying with capital requirements and restrictions on asset holdings
- C. Prints money
- D. National Bank of Ethiopia restrict those who can set up a financial intermediary

A

82) Which of the following is likely to be information rather than data?

A. Customer number

B. Employee name

C. Net profit

D. Sales price

C

83) Which of the following is the best theoretical justification for consolidated financial statements?

- A. In form the companies are one entity; in substance they are separate.
- B. In form and substance, the companies are separate.
- C. In form and substance, the companies are one entity.
- D. In form the companies are separate, in substance they one entity

D

84) If the investment property is measured using the fair value model, a gain arising from a change in the fair value of an investment property must be:

- A. Recognized as other comprehensive income
- B. Recognized in the calculation of profit or loss
- C. Ignored
- D. Credit to a revaluation reserve

B

85) If you have a portfolio of two risky stocks which turns out to have no diversification. The reason you have no diversification is:

- A. The returns move perfectly with one another.
- B. The returns move perfectly opposite of one another.
- C. The returns are too small.
- D. The returns are completely unrelated to one another.

A

Diversification means the distribution of investment amounts into different types and classes of assets to bring down the overall risk. Investors diversify their portfolio to bring down the overall risk of the investments.

The advantage of diversification will increase when the returns on two securities move in different directions.

86) Company A and Company B have the same gross profit margin and the same total asset turnover, but company A has a higher return on equity. This may result from:

- A. Company B has more common stock.
- B. Company A has a lower debt ratio.
- C. Company A has lower selling and administrative expenses, resulting in a higher net profit margin.
- D. Company A has lower cost of goods sold, resulting in a higher net profit margin.

C

$$\text{ROE} = \underbrace{\frac{\text{Net Income}}{\text{Sales}}}_{\text{net profit margin}} \times \underbrace{\frac{\text{Sales}}{\text{Total Assets}}}_{\text{asset turnover}} \times \underbrace{\frac{\text{Total Assets}}{\text{Shareholder Equity}}}_{\text{financial leverage}}$$

87) Refer to the following lease amortization schedule. The five payments are made annually starting with the inception of the lease. A \$2,000 bargain purchase option is exercisable at the end of the five-year lease. The asset has an expected economic life of eight years.

Lease Payment	Cash Payment (in birr)	Effective Interest (in birr)	Decrease in Balance (in birr)	Outstanding Balance (in birr)
				34,600
1	8,000	??	??	26,600
2	8,000	2,660	5,340	21,260
3	8,000	2,126	5,874	15,386
4	8,000	1,539	6,461	8,925
5	8,000	??	??	??
6	2,000	182	1,818	0

What is the outstanding balance after payment 5 ?

- A. Birr 3818
- B. Birr 1818
- C. Birr 2182
- D. Birr 2000

Interest Rate= Effective Interest/ Outstanding Balance of Previous Month
 $2660/ 26600 = 10\%$
Interest payment = Outstanding Amount X Interest Rate
 $= 8925*0.10 = 893$
Decrease in balance = 8000 – 893 = 7107
Outstanding balance = 8925 -7107= 1818

B

88) An analysis of the items and amounts that result in the cash balance reported in the bank statement to differ from the balance of the cash account in the ledger is

- A. Bank statement
- B. Bank analysis
- C. Bank account
- D. Bank reconciliation

D

89) Which of the following shows the correct sequence of flow of accounting data in accounting records?

- A. Journal-Source document - Occurrence of transaction-Ledger
- B. Ledger-Journal - Source document - Occurrence of transaction
- C. Source document - Journal - Occurrence of transaction - ledger
- D. Occurrence of transaction-Source document - Journal-Ledger

D

90) Which one of the following statements is **FALSE** about property plant and equipment (PPE)?

- A. Are acquired for use but not for sale under no normal course of business
- B. Can provide service for more than a year period
- C. All items of PPE have unlimited life
- D. They are tangible in nature

C

91) Activity-based costing (ABC) can eliminate cost distortions because ABC systems ____.

- A. establish a cause-and-effect relationship with the activities performed
- B. use single cost pool for all overhead costs, thereby enabling simplicity
- C. use a broad average to allocate all overhead costs
- D. never consider interactions between different departments in assigning support costs

A

92)

	Parent Inc. (carrying value in Birr)	Sub Inc. (carrying value in Birr)	Sub Inc. (fair value in Birr)
Cash	180,000	36,000	36,000
Accounts Receivable	100,000	40,000	40,000
Inventory	60,000	24,000	27,000
Plant and Equipment (net)	200,000	80,000	93,000
Goodwill		8,000	
Trademark		12,000	15,000
Total Assets	540,000	200,000	
Current Liabilities	80,000	50,000	50,000
Bonds Payable	320,000	20,000	24,000
Ordinary Shares	90,000	80,000	
Retained Earnings	50,000	50,000	
Total Liabilities and Equity	540,000	200,000	

Assuming that Parent Inc acquires 80% of Sub Inc on August 1, 2022 for cash of \$180,000, what would be the amount of goodwill appearing on the Consolidated Balance Sheet on the date of acquisition if the proportionate consolidation method were used?

- A) 72,000
- B) 88,000
- C) 70,400
- D) Nil

C

FV Net Asset = 137,000

Consideration transfer : $180,000 + (137,000 \times 0.2) = 207,400$

Goodwill = $207,400 - 137,000 = 70,400$

93) As used in auditing which of the following statement best describes "Assertion" ?

- A. Assertions are the representations of management as to the reliability of the information system.
- B. Assertions are the auditor's findings to be communicated in the audit report.
- C. Assertions are the representations of management as to the fairness of the financial statements.
- D. Assertions are found only in the footnotes to the financial statements.

C

94) The home office accounts for shipments of merchandise to the branch as sales. The billed price reflects a mark-up equal to 40% of billed price. The branch reported beginning and ending inventories at billed prices of Birr 80,000 and Birr 60,000, respectively.

Which of the following statements is **FALSE**?

- A. Working paper elimination entries will reduce combined cost of goods sold by Birr 8,000.
- D**
- B. Home office beginning retained earnings is overstated by Birr 32,000.
- C. Unrealized intra-firm profit at the end of the year is Birr 24,000.
- D. The Overvaluation of Branch Inventory account balance at the end of the year is Birr 8,000.

95) On March 31, 2022, Meade Company merged into Steele Corporation.

The separate income statements of the two companies for the fiscal year ended March 31, 2022, prior to any journal entries necessary to record the business combination on that date, showed the following net income: Steele, Birr 500,000; Meade, Birr 100,000.

Steele's post- merger income statement for the year ended March 31, 2022, shows net income in the amount of

A. Birr 600,000

B. Birr 500,000

C. Birr 470,000

D. Birr 570,000

B

96) Assume that the sales revenue of ABC Share Company is Birr 12,000,000 during Tax Year ended Sene 30, 2014.

Cost of goods sold (determined on the basis of the average cost method) and Expenses were Birr 5,000,000 and Birr 800,000, respectively.

The operating expenses comprises of store rent expense of Birr 400,000, a 5% depreciation expense on a not fully depreciated Building with a cost of Birr 2,000,000, a penalty of Birr 50,000, and a donation of Birr 250,000 to the government of FDRE as a contribution to the 'Gebeta Lelimat Project.

What is the amount of taxable business profit to be presented on the tax return?

- A. Birr 6,500,000
- B. Birr 6,600,000
- C. Bir 6,200,000
- D. Bin 6,250,000

Sale -----	12,000,000
CGS-----	<u>5,000,000</u>
GP-----	7,000,000
Operating expense	
Rent expense	400,000
Dep Exp -----	-100,000
Donation	250,000
NI =	6,250,000

D

97) During the year an enterprise fund purchased Birr 230,000 worth of equipment. The equipment was acquired with a cash down payment of Birr 23,000 and a Birr 207,000 loan.

What is the net effect of this transaction on the net asset accounts of the enterprise fund?

- A. Invested in capital assets, net of related debt is increased by Birr 23,000.
- B. Invested in capital assets, net of related debt is increased by Birr 230,000.
- C. Invested in capital assets, net of related debt is increased by Birr 207,000.
- D. Invested in capital assets, net of related debt is decreased by Birr 207,000.

Equipment230000
cash23000
Account Payable ...207000

A

98) Which of the following is a reason why a company would expand through a combination, rather than by building new facilities?

- a. A combination might provide cost advantages.
- b. A combination might provide fewer operating delays.
- c. A combination might provide easier access to intangible assets.
- d. All of the above are possible reasons that a company might choose a combination.

D

99) Beginning with an investment in one company's securities, as we add securities of other companies, which type of risk declines?

A. Non-diversified risk

B. Market risk

C. Unsystematic risk.

D. Systematic risk.

Systematic risk is a market-wide risk or non-diversifiable risk that affects the securities of all the firms whereas **unsystematic risk** is a diversifiable or firm-specific risk that affects only a particular company's securities.

Thus, as we add securities of other companies to a given portfolio, the unsystematic risk declines.

C

100) Which of the following is **not** a fraud factor for the revenue recognition process?

- A. Creating of fictitious invoices
- B. Recognition of revenue on shipments that never occurred
- C. Recording advance collections as revenue
- D. Not recording consignment sales revenue

A

101) Which of the following is **FALSE** about the difference between management accounting and financial accounting?

- A. Management accounting information is captured and delivered less frequently.
- B. Management accounting information is summarized in different ways for different purposes.
- C. Management accounting is forward looking instead of historical.
- D. Management accounting is not strictly governed by IFRS/GAAP.

A

102) Assume General hospital has a current ratio of 0.5.

Which of the following actions would improve (increase) this ratio

- A. Use cash to pay off current liabilities
- B. Collect some of the current accounts receivable
- C. Use cash to pay off some long term debt
- D. Purchase additional inventory on credit (i.e., accounts payable).
- E. Sell some of the existing inventory at cost (book value).
- F. None

$$CR = CA/CL$$

CR increased if CA increased or CL decreased

103) When counting cash on hand, the auditor must exercise control over all cash and other negotiable assets to prevent

A Theft

B. Irregular endorsement

C. Deposits in transit

D. Substitution

D

104) All of the following are likely to result in a lower dividend, other things the same, **Except:**

- A. Statutory restrictions
- B. Liquidity constraints
- C. Debt covenants
- D. Highly diverse ownership

D

105) At the end of June 30,2022, the following items were reported by West

- Manufacturing Co.:
- Finished goods Br. 500,000
- Raw materials 200,000
- Work in process 100,000
- Office supplies bought for use by managers 30,000

Which of the following reporting on statement of financial position is correct?

- A. Inventory Br. 800,000 and Office supplies Br. 30,000
- B. Inventory Br. 630,000 and Raw materials Br. 200,000
- C. Inventory Br. 500,000 and other items Br. 330,000.
- D. Inventory Br. 730,000 and Work in process Br. 100,000

A

106) ABC Company purchased a piece of equipment on January 1, 2012. The equipment cost Birr 60,000 and has an estimated life of 8 years and a salvage value of Birr 8,000.

What was the depreciation expense for the asset for 2013 under the double-declining-balance meth

- A. Birr 6,562
 - B. Birr 15,000
 - C. Birr 11,250
 - D. Birr 6.500
- Rate = $(1/n) * 2 = (1/8) * 2 = 0.25$**
- | B. Book value | rate | dep Ex | Acc Dep exp | E book value |
|---------------|------|--------|-------------|--------------|
| 60,000 | 0.25 | 15,000 | 15,000 | 45000 |
| 45000 | 0.25 | 11250 | 26,250 | 33750 |
- C

107) After using equipment for five years, its major part that is believed to increase life by 3 years is changed at a cost of Br. 30,000.

Which of the following is a correct about the effect of this cost?

- A. Increasing period costs by Br. 30,000
- B. Increasing revenue expenditure by Br 30,000
- C. Increasing general expense by Br. 30,000
- D. Increasing carrying value of the asset by Br. 30,000

D